MONETARY POLICY

LEARNING OUTCOMES

The candidate should be able to:

- describe the roles and objectives of central banks
- describe tools used to implement monetary policy tools and the monetary transmission mechanism, and explain the relationships between monetary policy and economic growth, inflation, interest, and exchange rates
- describe qualities of effective central banks; contrast their use of inflation, interest rate, and exchange rate targeting in expansionary or contractionary monetary policy; and describe the limitations of monetary policy
- explain the interaction of monetary and fiscal policy

Category
Monetary Policy

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